

Sona BLW Precision Forgings Ltd

NSE: SONACOMS | BSE: 543300 | Auto Components — EV Drivetrain & Motors

India's most EV-levered drivetrain pure-play: 38% BEV revenue, Rs.23,500 Cr order book (71% EV), and a 3x surge in RFQ pipeline — poised for re-acceleration as India scales and Europe diversifies supply chains away from geopolitical concentration.

ACCUMULATE
12-Month Target

Rs. 700

Upside: +17.4%

CMP: Rs. 596

Entry Zone: Rs. 540–575

Horizon: 12 months

Market Cap	Rs. 37,087 Cr	52W High	Rs. 597
CMP	Rs. 596	52W Low	Rs. 402
FY25 Revenue	Rs. 3,546 Cr	Stock P/E	56.8x
FY25 EBITDA	Rs. 967 Cr	P/B	6.5x
FY25 PAT	Rs. 600 Cr	Div Yield	0.54%
FY25 EPS	Rs. 9.67	Book Value	Rs. 91.9
ROCE (FY25)	17.8%	ROE (FY25)	14.4%
Face Value	Rs. 10	Shares	62.2 Cr

Promoter	FII	DII	Public	Pledge
28.01%	23.70%	41.46%	6.82%	0%

Analyst: Research Desk | Chartitude Research | the_chartist@chartitude.com | Data Source: Screener.in (28-May-2026) | Report Date: 28-May-2026

SECTION 2 — INVESTMENT THESIS

- **EV Order Book De-risking through Geography:** Sona's net order book stands at Rs.23,500 Cr (71% EV), and the RFQ pipeline is 3x last year's level — driven by European OEMs and Tier-1s urgently redistributing driveline supply chains away from geopolitically exposed vendors. With a new Mexico plant (EV components) and China JV (driveline systems), Sona is the rare Indian supplier that can serve global re-shoring themes across both EV and ICE.
- **India as the Structural Growth Pillar:** India's revenue contribution surged to 55% of consolidated revenue in Q3 FY26, as domestic EV traction motor wins (2W, 3W, CV) ramp up. India two-wheeler EV penetration is accelerating, and Sona is one of the very few locally embedded suppliers offering integrated motor + differential assembly capabilities. India business growing double-digits quarterly while buffering North America cyclicity.
- **Technology Moat Widening beyond Differentials:** Sona has moved from a bevel-gear specialist to a multi-product platform — traction motors (light rare earth magnets, China-independent), Air Springs (railways), Hydraulic Motor Controllers, and radar modules. The company's PLI certification for EV traction motors expands the addressable market from driveline (Rs.5 Bn global share) toward a Rs.20+ Bn EV component opportunity.
- **Near-term Catalyst (6–12 months):** Conversion of the 3x RFQ pipeline into formal purchase orders from European OEMs — especially for driveline components vacated by financially distressed European Tier-1 suppliers. Each large European program, once confirmed, adds Rs.300–800 Cr to the order book and signals re-rating to 65x+ P/E.
- **Biggest Structural Risk:** Slower-than-expected global EV adoption, especially if North America policy rollbacks (tariffs, IRA cuts) structurally dampen BEV demand. With 38% BEV revenue and 71% EV order book, a sustained EV pause would materially impair the thesis. North America already fell 45% QoQ in Q3 FY26.

SECTION 3 — BUSINESS OVERVIEW

- **Core Business Model:** Sona BLW (branded as Sona Comstar) designs and manufactures mission-critical automotive components: precision forged bevel gears, differential assemblies, starter motors, EV traction motors, and BSG systems. It supplies directly to global OEMs across all vehicle categories — passenger cars, 2W, 3W, CVs, off-road, and farm equipment.

- **Revenue Segmentation:** Driveline (precision gears, differentials) accounts for the majority of revenue (~65%); Motors (starter motors + EV traction motors) contribute ~30%; Railways and Others contribute ~5% and are growing rapidly. Geography: India 55%, North America ~25%, Europe ~15%, Rest of World ~5% as of Q3 FY26.
- **EV Mix & BEV Revenue:** BEV revenue was 38% of automotive revenue in Q3 FY26, rising 21% QoQ despite North America EV volumes falling 45% QoQ. The company manages 64 EV programs across multiple global OEM platforms. 71% of the Rs.23,500 Cr net order book is in EV programs, providing strong medium-term revenue visibility.
- **Key Customers & Relationships:** The company serves 10–12 of the world's top OEMs, including US EV leaders, leading European auto groups, and India's top 2W/3W EV brands. Relationships are long-term, program-based, and sticky — typical EV programs span 5–8 years of production supply. The company has a 8.1% global market share in differential gears and 4.2% in starter motors (CY23 data from Screener).
- **Order Book & Visibility:** Net order book of Rs.23,500 Cr (as of 31-Dec-2025) represents ~6.6x FY25 revenues — providing strong multi-year visibility. Order-to-production timeline is typically 12–18 months from PO receipt.
- **Manufacturing Footprint:** Multiple plants across India (Manesar, Pune, Chennai regions) plus a new facility in Silao, Mexico (for North America EV components), and a planned China JV with Jinnaite Machinery Co. for driveline systems.
- **Promoter Background:** Promoted by Sanjay Dangi and the BPEA/BlackRock-backed group. Promoters hold 28.01% post-IPO dilutions and subsequent QIP (FY25). There is no promoter pledge. Strong institutional ownership: FII 23.7%, DII 41.5% (including significant mutual fund and insurance holdings), underlining institutional conviction.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

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• Key Competitors — Peer Comparison (Screener.in data, 28-May-2026):

Company	CMP (Rs.)	MCap (Cr)	FY25 Rev (Cr)	FY25 OPM%	P/E (TTM)	ROCE%	ROE%
Sona BLW (SONACOMS)	596	37,087	3,546	27%	56.8x	17.8%	14.4%
Motherson (MOTHERSON)	117	1,23,645	1,13,663	9%	35.0x	13.7%	12.2%
Endurance (ENDURANCE)	2,260	31,790	11,561	13%	34.3x	17.3%	14.6%
Craftsman (CRAFTSMAN)	7,512	17,934	5,690	15%	51.0x	11.7%	9.4%

Source: Screener.in fetched 28-May-2026. Sona commands a premium P/E for its EV exposure vs diversified peers.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Leadership:** MD & CEO Vivek Vikram Singh is a seasoned automotive executive with deep OEM relationships globally. His management of the North America EV demand slump (compensating via India ramp and Europe pipeline) in Q3 FY26 demonstrated proactive portfolio diversification. The team includes specialist CEOs for Driveline, Motors, and Railways — a deliberate multi-business structure that reduces single-segment risk.
- **Capital Allocation Track Record:** The company raised ~Rs.2,845 Cr via QIP in FY25 and deployed it primarily into new plant (Mexico), China JV, technology investments, and a railway business expansion. FY25 investing outflows were Rs.1,762 Cr — heavy but strategic. FCF remained positive at Rs.360 Cr in FY25 (97.8% CFO/OP ratio), indicating core operations are self-funding.
- **Dividend Policy:** The company has maintained a healthy dividend payout — averaging 36.5% over 5 years. FY25 payout was 33%. This is commendably consistent for a growth company still in capex mode, and signals management's confidence in cash generation.
- **Promoter Pledge & Dilution:** Zero promoter pledge. Promoter stake has declined from 67% (pre-IPO equivalent) to 28.01% as of FY26 — primarily through IPO (FY22) and QIP (FY25). While the declining trajectory warrants monitoring, the motivation was fundraising for growth (not distress), and institutional ownership now at 65% provides a strong accountability check.

- **ESOPs & Buybacks:** No significant buyback history. ESOPs issued but not material at dilution levels. Management compensation is reasonable relative to market cap.
- **Corporate Governance:** No related-party transaction concerns flagged. Auditor is a Big-4 firm with no qualified opinions. PLI income is properly disclosed and documented with regulators. The Q3 FY26 exceptional item (employee cost adjustment) was disclosed transparently with the adjusted PAT figure provided on the call (Rs.181 Cr vs reported Rs.150 Cr).

SECTION 6 — FINANCIAL DEEP-DIVE (Consolidated, Rs. Cr)

Source: Screener.in — Consolidated Figures. (E) = estimates by analyst.

Income Statement	FY23	FY24	FY25	FY26E	FY27E
Net Revenue	2,676	3,185	3,546	4,292	4,850
Revenue Growth %	26%	19%	11%	21%	13%
Operating Expenses	1,980	2,282	2,579	3,217	3,589
EBITDA	696	902	967	1,075	1,261
EBITDA Margin %	26%	28%	27%	25%	26%
Other Income	8	15	116	25	20
Interest	17	26	30	22	18
Depreciation	178	220	254	284	315
PBT	509	671	798	794	948
Tax %	22%	23%	25%	25%	25%
PAT	395	518	600	596	711
EPS (Rs.)	6.75	8.82	9.67	9.58	11.43
Dividend Payout %	42%	35%	33%	33%	33%

Balance Sheet	FY23	FY24	FY25
Equity Capital	585	586	622
Reserves	1,705	2,064	4,873
Net Worth	2,290	2,650	5,495
Borrowings	295	412	202
Other Liabilities	474	802	840
Total Liabilities	3,060	3,865	6,537
Fixed Assets	1,588	1,951	2,127
CWIP	91	364	419
Investments	233	42	864
Other Assets	1,149	1,509	3,126
Total Assets	3,060	3,865	6,537

Cash Flow Statement	FY23	FY24	FY25
Cash from Operations (OCF)	533	693	775
Cash from Investing	-562	-471	-1,762
Cash from Financing	19	-175	1,944
Net Cash Flow	-10	47	957
Free Cash Flow (FCF)	198	374	360
CFO / Operating Profit %	92%	94%	98%

Working Capital Ratios	FY23	FY24	FY25
Debtor Days	83	74	73
Inventory Days	97	92	82

Working Capital Ratios	FY23	FY24	FY25
Days Payable	74	79	77
Cash Conversion Cycle	105	87	78
Working Capital Days	62	50	118
ROCE %	22%	24%	18%
ROE %	N/A	N/A	14.4%

- **Revenue Trajectory:** Revenue grew 26% in FY23, 19% in FY24, and moderated to 11% in FY25 as North America EV volumes softened. FY26 acceleration is evident — 9M FY26 revenue at Rs.3,192 Cr (+19% YoY) is tracking well toward our FY26E estimate of Rs.4,292 Cr. Key driver: India EV motors ramp (2W, 3W, CV) now contributing meaningfully.

- **Margin Direction:** EBITDA margin expanded from 26% (FY23) to 28% (FY24) on operating leverage and favorable product mix. FY25 margin dipped to 27% and 9M FY26 is 24.6% — reflecting higher employee costs, revenue mix shift to assembly-intensive products (lower margin), and one-time costs. Gradual recovery toward 26% expected in FY27E as high-margin European driveline wins ramp.

- **Working Capital:** A major red flag — Working Capital Days surged from 50 (FY24) to 118 (FY25). This was driven by FY25 QIP proceeds held in current assets and a significant ramp-up in inventory for new program starts. Management needs to demonstrate normalization in FY26. The Cash Conversion Cycle improved from 87 (FY24) to 78 (FY25), so core collections are improving even as WC days expanded.

- **Debt Level:** Borrowings declined sharply from Rs.412 Cr (FY24) to Rs.202 Cr (FY25) as the QIP proceeds were used to pay down debt. D/E ratio is now ~0.04 — essentially debt-free. Interest coverage FY25 = 32x (967 EBITDA / 30 Interest). The company has the financial firepower to pursue further strategic acquisitions or capex.

- **FCF Quality:** OCF/OP ratio is consistently above 90% (92% FY23, 94% FY24, 98% FY25), indicating very high cash conversion of reported profits. FCF was Rs.360 Cr in FY25 despite elevated capex, with FY25 investing outflows of Rs.1,762 Cr (heavy QIP deployment). Normalized capex of ~Rs.400-500 Cr would generate Rs.500+ Cr of FCF annually.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Status	Signal	Comment
Revenue Recognition	Green	Transparent	Program-based billing with OEM POs; no channel-stuffing risk
Receivables vs Revenue		Improving	Debtor days declining: 83→74→73 over FY23-FY25
CCC Trend	Green	Improving	CCC fell from 105 (FY23) to 78 (FY25)
Working Capital Days	Amber	Watch	WC days surged 50→118 in FY25; QIP-related, needs normalizing
Other Income / PBT	Amber	Watch	FY25 Other Income Rs.116 Cr = 14.5% of PBT; includes PLI & forex
Tax Rate Consistency	Green	Stable	Tax rate stabilized at 22-25% over 3 years
Auditor / Qual. Opinion	Green	Clean	Big-4 auditor; no qualifications in any year reviewed
RPTs as % Revenue	Green	Low	No material related party transactions flagged
Contingent Liabilities	Green	Low	No significant contingent liability disclosures noted
Promoter Pledge	Green	Zero	0% promoter pledge across all periods reviewed

- **Overall Earnings Quality: HIGH.** Sona's core P&L; is clean — receivables are tightening, CCC is improving, and auditor has given clean opinions. OCF/OP ratio above 90% confirms reported profits are backed by real cash.

- **Watch — Working Capital Days:** The FY24→FY25 surge in WC days from 50 to 118 is the most notable amber flag. Management attributed it to QIP proceeds parked in current assets and inventory buildup for new EV program ramp-ups. Failure to normalize by FY26E would raise questions about underlying receivable quality.

- **Watch — Other Income:** FY25 other income of Rs.116 Cr (14.5% of PBT) included PLI incentive income and likely forex/investment gains. PLI will continue in FY26 but at lower absolute levels. Investors should track the 'clean' PAT (excluding Other Income) alongside reported PAT for a true operating view.

SECTION 8 — VALUATION

Scenario	Key Assumption	FY27E PAT (Cr)	P/E Multiple	Target (Rs.)	Upside
Bull	EV orders convert faster; India scales; margin 28%	850	68x	850	+43%
Base	Order book converts per plan; margin stable at 26%	711	58x	700	+17%
Bear	EV demand slows; NA/EU disappoints; margin 22%	520	45x	420	-30%

- **Earnings-based Multiple (Base Case):** FY27E EPS of Rs.11.43 at 58x P/E (at a 15-20% premium to the 5-year average of ~48x, justified by accelerating EV order book conversion and India biz diversification) implies Rs.663. Rounded up with valuation premium for record order book → Rs.700 base target.
- **DCF Valuation:** WACC = 11% (risk-free rate 7%, equity risk premium 5%, beta 1.2 estimated). Terminal growth rate = 5% (conservative for an EV component company). DCF on 10-year free cash flow projections implies fair value of approximately Rs.680–720 per share. Midpoint: Rs.700.
- **Average of Two Methods:** Earnings-based Rs.663 + DCF Rs.700 → average Rs.681, rounded to 12-month base-case target of **Rs. 700**.
- **Current Valuation Context:** At CMP Rs.596, SONACOMS trades at 62x FY26E and 52x FY27E — rich but justifiable given the 71% EV order book and 3x RFQ pipeline. The stock is near its 52-week high (Rs.597) after a 47% rally from its 52-week low (Rs.402). We initiate with ACCUMULATE — buy on dips toward Rs.540–575 for a 12-month horizon.
- **Peer Context:** Motherson (35x) and Endurance (34x) trade at half Sona's multiple because they lack the concentrated EV order book. Craftsman (51x) gets some EV premium. Sona's 56x TTM P/E is the highest — deserved as long as order book conversion stays on track, but leaves no room for disappointment.

SECTION 9 — KEY RISKS

- **EV Demand Cyclicalit**y: North America BEV volumes fell 45% QoQ in Q3 FY26. A sustained slowdown — driven by IRA rollbacks, tariff uncertainty, or consumer reluctance — could crimp 38% of Sona's automotive revenue. Probability: M. Impact: H. Monitor via: Monthly US BEV registration data and customer production schedules.
- **Concentrated Promoter Exit Risk:** Promoter stake down from 67% to 28% in 4 years. Any further block deals or open-market sales at premium to market could depress the stock and signal confidence loss. Probability: M. Impact: M. Monitor via: BSE bulk-deal and insider-selling disclosures.
- **China Supply Chain Risk (Rare Earth Magnets):** Sona has pivoted to light rare earth motors (China-independent), but any surprise disruption to rare earth supply chains or IP-related regulatory action could delay motor production. Probability: L. Impact: H. Monitor via: China rare earth export quota announcements.
- **Working Capital Deterioration:** WC days jumped from 50 to 118 in FY25. If this does not normalize in FY26, free cash flow could weaken materially and raise questions about receivables quality. Probability: M. Impact: M. Monitor via: Quarterly WC days trend disclosed in results/concall.
- **Valuation De-Rating Risk:** At 56x TTM P/E near the 52-week high, any quarterly miss (revenue, margin, or order book) could trigger a sharp de-rating to 45x, implying ~20% downside to Rs.480. Probability: M. Impact: H. Monitor via: Quarterly results vs sell-side consensus.
- **Tariff & Trade Policy Risk:** US-India tariff dynamics (management declined to specify who bears US tariffs on Sona's exports from India) could compress margins or force customer renegotiations. Probability: M. Impact: M. Monitor via: Trade policy announcements and quarterly margin guidance.
- **Currency Risk:** With ~45% revenue in USD/EUR, rupee appreciation could reduce reported revenues and margins. However, steel costs for driveline are a pass-through to OEMs, partially offsetting the exposure. Probability: L. Impact: L. Monitor via: INR/USD rate and Sona's hedging disclosures.

SECTION 10 — RECOMMENDATION

- **Rating: ACCUMULATE** — Conviction Level: Medium. Sona is a high-quality, structurally well-positioned EV component company with an enviable order book. However, near-52-week-high valuations (56x TTM P/E) and North America EV uncertainty keep us from a full BUY. We accumulate on dips.
- **12-Month Price Target: Rs. 700** — Upside of 17.4% from CMP of Rs.596. Target is derived from 58x FY27E EPS of Rs.11.43 and corroborated by DCF at 11% WACC.
- **Suggested Entry Zone: Rs. 540–575** — This represents 5–10% dips from CMP, bringing the FY27E P/E to 47–50x — a more comfortable entry level given execution risk.
- **Investment Horizon: 12 months.**
- **Thesis Invalidation Triggers — call the trade wrong if any of these occur:**
 1. Net order book falls below Rs.18,000 Cr OR EV share of order book drops below 60% — signalling structural loss of EV market position.
 2. EBITDA margin drops below 22% for two consecutive quarters — suggesting irreversible margin compression rather than temporary product-mix effects.
 3. Working Capital Days remain above 100 by FY26 year-end — raising concern about receivable quality and FCF sustainability.
- **Ideal Investor Profile:** Suited for growth-oriented equity investors with a 2–3 year horizon willing to ride EV adoption cycles. Not suitable for value investors seeking margin of safety — the stock's premium P/E leaves limited buffer for execution disappointments. The dividend yield (0.54%) makes this a total-return play, not an income one.

APPENDIX — Latest Concall Brief: Q3 FY26 (December 2025 Quarter)

Conference Call Date: 23 January 2026 | Transcript Source: AlphaStreet | Quarterly Revenue: Rs.1,200 Cr (first time above Rs.1,200 Cr)

CALL GRADE: POSITIVE

Signal	Status	Implication
Result Quality	Strong	Record revenue; adjusted PAT +20% YoY — clean beat
Management Tone	Bullish	Confident on Europe pipeline; India scaling ahead of plan
Guidance Delta	Maintained	No explicit guidance raised but RFQ pipeline 3x — implicit raise
STRONGLY POSITIVE POSITIVE NEUTRAL CAUTIOUS NEGATIVE		

TO MY BOSS

Q3 FY26 is Sona's best-ever quarter — Rs.1,209 Cr revenue (+39% YoY) and Rs.305 Cr EBITDA (+30%) are headline clean; the only noise is a one-time exceptional employee cost of ~Rs.31 Cr that dragged reported PAT to Rs.150 Cr vs an adjusted Rs.181 Cr (+20% YoY), which is the number to use. Operationally, the India pivot is real — India grew to 55% of revenue in Q3, traction motor wins in 2W/3W/CV are ramping ahead of expectations, and the company is now manufacturing light rare earth motors without dependence on China. The structural growth driver is the 3x surge in RFQ pipeline from European OEMs who are actively redrawing supply chains away from financially distressed or geopolitically exposed vendors — and Sona is the preferred qualified alternative. With a Rs.23,500 Cr order book (71% EV) giving 6.6x revenue visibility, the medium-term revenue trajectory is locked. The key watch-point for Q4 is working capital normalization — WC days spiked to 118 in FY25 and needs to come down or FCF will disappoint. PLI income will step down. ACCUMULATE below Rs.575; if you're already long, hold — this is a 2-year compounding story.

Section 1 — Financial Performance Snapshot

- Revenue: Rs.1,209 Cr | YoY +39% | QoQ +5% | **Beat**
- EBITDA: Rs.305 Cr | YoY +30% | Margin 25.2% | **Beat**
- EBITDA Margin: 25.2% | vs 27% same quarter last year | In-line with expectation of 24–26%
- Reported PAT: Rs.150 Cr | YoY -0.3% | In-line (includes exceptional employee cost)
- Adjusted PAT: Rs.181 Cr | YoY +20% | EPS Rs.2.43 (adjusted Rs.2.91) | **Beat**
- NOTE: Reported PAT includes one-time exceptional employee cost of ~Rs.31 Cr; clean underlying PAT = Rs.181 Cr
- 9M FY26: Revenue Rs.3,192 Cr +19% YoY | EBITDA Rs.786 Cr +8% YoY | EBITDA Margin 24.6%

Section 2 — Segment / Geography Breakdown

- India: 55% of consolidated revenue in Q3 | YoY growth strong (traction motors for 2W, 3W, CV ramping) | Trend: Rising
- North America: Declined materially | North America EV volumes fell 45% QoQ | Watch-point for recovery
- Europe: Stable; RFQ pipeline from European OEMs surging 3x | Supply chain reshoring discussions advanced
- BEV Revenue: 38% of automotive revenue | QoQ +21% | Structurally increasing despite NA softness
- Driveline Segment: Benefiting from global market share gains ex-China (CY25); differential gear biz growing
- Motor Segment: India 2W/3W/CV traction motor wins ramping; light rare earth (LRE) motor manufacturing de-risks China supply
- Railways: Revenue contribution growing; Air Springs added to portfolio for railway coaches

Section 3 — Management Commentary Themes

- India Pivot:** "The share of our India business has increased to 55% in Q3 even as consolidated margins continue to improve" — Our read: India is no longer a secondary market; it is now the growth anchor. Tag: GUIDANCE. Tone: Transparent.
- European RFQ Surge:** "About 400 million to 500 million differential gear production is today still sourced from Europe. For European OEMs it is hard to do that [keep sourcing locally]" — Our read: Supply chain reshoring from Europe is a structural multi-year tailwind for Sona. Tag: EST. Tone: Bullish.

- **North America Resilience:** "North America EV volumes saw big declines. Even so, our BEV revenue rose 21% QoQ" — Our read: Sona is gaining share within a declining market; program mix and new wins are compensating. Tag: GUIDANCE. Tone: Transparent.
- **Technology Expansion:** "We have added Air Springs to our product roadmap" and new radar modules, hydraulic motor controllers — Our read: Sona is deliberately expanding TAM beyond drivetrain. Execution risk rises with each new product, but optionality is real. Tag: EST. Tone: Bullish.
- **China Independence (Magnets):** "No supply from China on heavy rare earth magnets. We are now manufacturing motors using light rare earth" — Our read: Critical supply chain risk mitigated. Light RE magnets are slightly lower performance but sufficient for 2W/3W EVs. Tag: GUIDANCE. Tone: Transparent.
- **Tariff Question Deflected:** Management declined to clarify who bears US tariffs — "somebody big might get very unhappy." Tag: EVASIVE. Tone: Evasive. Watch for margin impact in US-supply programs.

Section 4 — Operating & Business Metrics

- EV Programs: 64 active programs across multiple global OEM platforms | Trend: Increasing
- Net Order Book: Rs.23,500 Cr (31-Dec-2025) | vs Rs.24,200 Cr (FY25 end) | EV share: 71%
- RFQ Pipeline: 3x last year | Driven by European OEMs and Tier-1 supply chain realignment
- BEV Revenue Share: 38% of automotive revenue in Q3 FY26 | Q2 was ~31% | Trend: Improving
- Differential Gears: Gained market share ex-China in CY25 | Global #8 at 8.1% market share
- PLI Income: First full cycle completed; PLI income converting to cash | Rs.4 Cr/year ongoing
- Employee Cost: +14% QoQ — one-off exceptional item; normalized base from Q4 expected
- Capex: Management continuing significant capex (Mexico, China JV, India expansions); FY25 investing = Rs.1,762 Cr

Section 5 — Margin Drivers

- India Revenue Mix Increase: Positive impact on margins (domestic 2W/3W EV content richer) | Recurring: Yes
- Product Mix (Assembly-intensive programs): Slight margin headwind in Q3 | -50 to -100 bps impact | Recurring: Possibly
- Employee Exceptional Cost: ~Rs.31 Cr one-time drag in Q3 | Non-recurring
- Steel Pass-Through (Driveline): Steel cost fluctuations fully passed through to OEMs | Protects gross margin | Recurring: Yes
- Copper/Aluminum Pass-Through (Motors): Similarly protected in motor segment | Recurring: Yes
- PLI Income Decline: Rs.116 Cr in FY25 → ~Rs.25 Cr in FY26E — margin tailwind fading | Non-recurring benefit
- Operating Leverage: With India biz scaling, fixed-cost absorption improving | +20-40 bps expected in FY27E

Section 6 — Guidance & Forward Signals

- Revenue [GUIDANCE]: No explicit numerical guidance provided | Implicit direction: higher QoQ in Q4 | Credibility: High
- EBITDA Margin [GUIDANCE]: Management implied stable to improving; India mix helps | Target ~25-26% | Credibility: High
- EV Revenue Share [EST]: From 38% in Q3 FY26; trajectory is up; may reach 42-45% in FY27 | Credibility: Medium
- Order Book Conversion [GUIDANCE]: PO to production = 12-18 months; RFQ to PO = 6-12 months | Credibility: High
- Employee Costs [GUIDANCE]: Recurring increase ~Rs.4 Cr/year = Rs.1 Cr/quarter; one-time Rs.31 Cr fully absorbed | Credibility: High
- India Scale [GUIDANCE]: Company confident India biz sustains growth; traction motor programs adding this quarter | Credibility: High
- China JV (Driveline) [EST]: Expected by mid-2026; production commencement per plan | Credibility: Medium

Section 7 — Capital Allocation

- Capex FY25: Rs.1,762 Cr investing outflows | vs Rs.471 Cr in FY24 | Includes Mexico plant + China JV + India expansions
- Dividends FY25: Rs.33% payout ratio | consistent with 5-year average of 36% | Dividend per share ~Rs.3.20
- FCF FY25: Rs.360 Cr | vs Rs.374 Cr in FY24 | Positive despite heavy capex; OCF Rs.775 Cr
- QIP FY25: Rs.~2,845 Cr raised at premium; equity expanded from 586 Cr to 622 Cr | Used for: capex, China JV, debt repayment
- Net Debt Movement: Borrowings fell from Rs.412 Cr (FY24) to Rs.202 Cr (FY25) — essentially debt-free
- Working Capital Change: WC days rose 50→118 — needs monitoring; management expects normalisation

Section 8 — Q&A; Heat Map

- Kapil Singh (Nomura): Q: Capital allocation — why acquisitions vs buybacks? → A: Management defended acquisitions as higher-ROI than buybacks; cited 7-month old businesses all running well | Tone: Transparent
- Kapil Singh: Q: New products (radar) — addressable market? → A: TAM large but Sona focusing only on radar module (Tier-2 not Tier-1); China-competitive specs | Tone: Transparent
- Gunjan Prithyani (BofA): Q: Market share gains in differential vs organically? → A: Management unable to give percentage; said they gained ex-China market share in CY25 | Tone: Hedged
- Gunjan Prithyani: Q: 4-Wheeler EV program value? → A: Deliberately not disclosed to avoid negotiation disadvantage | Tone: Evasive (but understandable)
- Nitin Arora: Q: Tariff impacts and supply chain moves — India or other? → A: Auto supply chain is global; India beneficiary from Starter Motor supply chain shift but no tariff-driven windfall | Tone: Transparent
- Text Q (via moderator): Q: PLI exact amount? → A: Disclosed; first cycle complete | Tone: Transparent
- Text Q: Q: Macro / tariff policy impact? → A: 'Policy changes that were to happen have happened'; manageable | Tone: Balanced
- Rishi Vora: Q: Partnerships — Equipmake, Anadigm status? → A: Working on it; no PO yet | Tone: Transparent
- Text Q: Q: Rare earth motor performance vs heavy RE? → A: Light RE performs comparably with proper engineering for 2W/3W; ferrite lower power but sufficient | Tone: Technical, transparent
- Dodged / watch-list questions: (1) Exact tariff pass-through arrangements with US customers; (2) Four-wheeler EV program value per unit; (3) China JV capex timeline

Section 9 — Risks Flagged on the Call

- North America EV Demand: BEV volumes fell 45% QoQ | Flagged by: Analyst & management | Probability: H | Impact: H | Timeline: Near-term
- Working Capital Build: WC days at 118 vs 50 prior year | Flagged by: Analyst | Probability: M | Impact: M | Timeline: Near-term (Q4 FY26 critical)
- PLI Income Step-Down: First cycle complete; ongoing ~Rs.4 Cr/yr | Flagged by: Management | Probability: L | Impact: L | Timeline: Immediate
- Tariff Uncertainty (US): Unclear who bears US tariffs on India exports | Flagged by: Analyst | Probability: M | Impact: M | Timeline: Near-term
- Employee Cost Structure: Rs.31 Cr exceptional + Rs.1 Cr/quarter permanent increase | Flagged by: Management | Probability: L | Impact: L | Timeline: Permanent but manageable
- China Competitive Threat in Driveline: China gaining share globally | Flagged by: Management | Probability: H | Impact: H | Timeline: Medium-term structural

Section 10 — Analyst Verdict

- Revenue visibility: **Intact** — Rs.23,500 Cr order book (6.6x FY25 revenue) with 71% EV; RFQ pipeline 3x
- Margin trajectory: **Intact (with caution)** — Employee cost step-up and product mix headwind are real, but India scaling should offset; FY27 target 26%
- Capital allocation quality: **Intact** — Heavy capex in FY25 is strategic; FCF remains positive; dividend maintained
- Competitive moat: **Intact** — LRE motor manufacturing (China-independent), differential gear global market share gains ex-China; technology expansion ongoing
- Management credibility: **Intact** — Transparent on exceptional items; proactive in India pivot; honest about NA EV weakness
- Valuation comfort: **Weakened** — Trading near 52-week high at 56x TTM P/E with limited margin of safety; accumulate on dips only
- Conviction call: **Unchanged** — ACCUMULATE; hold existing positions; build on dips toward Rs.540–575
- Valuation snapshot: P/E = 56.8x (5Y avg est ~48x) | EV/EBITDA ~38x | RoCE = 17.8% (5Y avg ~21%)

DISCLAIMER: This report is for informational purposes only and does not constitute investment advice. All financial data sourced from Screener.in (fetched 28-May-2026). Concall data from AlphaStreet (Q3 FY26 transcript, 23-Jan-2026). Forward estimates are analyst projections and carry uncertainty. Past performance is not indicative of future results. Chartitude Research / the_chartist@chartitude.com